

25STCV15534 25STCV15534

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Case Number: 25STCV15534 Hearing Date: July 17, 2026 Dept: 513

Superior Court of California

County of Los Angeles – Central District

Department

513

hong liang, m.d.

;

Plaintiff,

vs.

bin zhang, a/k/a larry

zhang

, et al.;

Defendants.

Case

No.:

25STCV15534

Hearing

Date:

July
17, 2026

Time:

10:00 a.m.

[tentative]

Order RE:

PLAINTIFF AND CROSS-DEFENDANT'S DEMURRER TO
CROSS-COMPLAINT

MOVING PARTY: Cross-Defendant Hong Liang,
M.D.

RESPONDING PARTY: Cross-Complainant Bin Zhang

Demurrer to Cross-Complaint

The court
considered the moving, opposition, and reply papers filed in connection with
this demurrer.

DISCUSSION

Cross-defendant Hong Liang, M.D. ("Cross-Defendant") demurs to each
cause of action in the Cross-Complaint on the grounds that each cause of action
fails to state facts sufficient to constitute a cause of action and each cause
of action is uncertain, ambiguous, and unintelligible.

The court overrules Defendant's demurrer to each cause of action in
the Cross-Complaint on the ground of uncertainty because it is not ambiguous or
unintelligible and therefore is not uncertain.

(Code Civ. Proc., § 430.10, subd. (f).)

The court sustains Cross-Defendant's demurrer to the first cause of
action for promissory estoppel because it does not state facts sufficient to

constitute a cause of action since Cross-Complainant failed to allege that the damages claimed are measured by the extent of the obligation assumed and not performed, that is, Cross-Complainant failed to allege what damages he is seeking to recover based on the promissory estoppel claim. (Code Civ. Proc., § 430.10, subd. (e); *Toscano v. Greene Music* (2004) 124 Cal.App.4th 685, 692 [“The elements of promissory estoppel are (1) a clear promise, (2) reliance, (3) substantial detriment, and (4) damages measured by the extent of the obligation assumed and not performed”] [internal quotations omitted].)

The court sustains Cross-Defendant’s demurrer to the second cause of action for breach of fiduciary duty because it does not state facts sufficient to constitute a cause of action since Cross-Complainant fails to allege there exists a fiduciary duty between the parties.

(Code Civ. Proc., § 430.10, subd. (e); *O’Neal v. Stanislaus Cnty. Employees’ Ret. Assn.* (2017) 8 Cal. App. 5th 1184, 1215 [“The elements of a claim for breach of fiduciary duty are (1) the existence of a fiduciary relationship, (2) its breach, and (3) damage proximately caused by that breach”].) The Cross-Complaint does not allege facts that show that a relationship between the parties where Cross-Defendant was duty bound to act with the utmost good faith for the benefit of Cross-Complainant was established because the Cross-Complaint merely alleges that by virtue of Cross-Defendant’s offer, he assumed a fiduciary duty to Cross-Complainant to treat the money given to him as an investment by Cross-Complainant. (Cross-Compl., ¶ 44.)

(*People ex rel. Harris v. Rizzo* (2013) 214 Cal.App.4th 921, 950 [“A fiduciary relationship has been defined as any relation existing between parties to a transaction wherein one of the parties is ... duty bound to act with the utmost good faith for the benefit of the other party. Such a relation ordinarily arises where a confidence is reposed by one person in the integrity of another, and in such a relation the party in whom the confidence is reposed, if he voluntarily accepts or assumes to accept the confidence, can take no advantage from his acts relating to the interest of the other party without the latter’s knowledge or consent”] [internal quotations omitted].) These allegations are not sufficient to create a fiduciary relationship.

The court overrules the demurrer to the third cause of action for breach of oral agreement because Cross-Complainant alleges that (1) (i) Cross-Defendant offered to invest money on behalf of Cross-Complainant and Cross-Defendant would treat all funds provided to him by Cross-Complainant as if they had been invested by Cross-Complainant for

purposes of determining the amounts to be owed by Cross-Defendant to Cross-Complainant, (ii) Cross-Complainant accepted Cross-Defendant's offer by giving him \$700,000, and (iii) subsequently, Cross-Complainant orally agreed to accept fewer shares in Apollo Medical Holdings., Inc., a publicly traded company, that Cross-Complainant believed he was entitled to in exchange for Cross-Defendant's oral promise to immediately transfer those shares to him (Cross-Compl., ¶¶ 6, 7, 30, 48, 49), (2) Cross-Complainant performed by giving Cross-Defendant the \$700,000 (Cross-Compl., ¶ 49), (3) Cross-Defendant breached the agreement by withholding shares that Cross-Defendant agreed to treat as belonging to Cross-Complainant (Cross-Compl., ¶ 51), and (4) Cross-Complainant has been harmed as a result of Cross-Defendant's breach. (Cross-Compl., ¶ 51.) (Wall Street Network, Ltd. v. N. Y. Times Co. (2008) 164 Cal.App.4th 1171, 1178 ["The elements of a breach of contract cause of action are: (1) existence of contract; (2) plaintiffs' performance or excuse for nonperformance; (3) defendants' breach (or anticipatory breach); and (4) resulting damage"]; Scolinos v. Kolts (1995) 37 Cal.App.4th 635, 640 ["Terms of an oral contract may be pleaded generally as to its effect, because it is rarely possible to allege the exact words"].)

The court overrules Cross-Defendant's demurrer to the fourth cause of action for unjust enrichment because Cross-Complainant has alleged that he gave Cross-Defendant \$700,000 for the express purpose of allowing Cross-Defendant to invest in a medical corporation with which Cross-Defendant was affiliated, Cross-Defendant promised to personally repay those funds to Cross-Complainant in amount equal to its value as an investment to Cross-Defendant, Cross-Defendant has breached that agreement and unjustly retained the benefits thereby damaging Cross-Defendant. (Cross-Compl., ¶¶ 7, 10, 11, 16, 17, 54-56.) (Lyles v. Sangadeo-Patel (2014) 225 Cal.App.4th 759, 769 [elements of unjust enrichment].)

The court overrules Cross-Defendant's demurrer to the fifth cause of action for conversion because Cross-Complainant has alleged that (1) Cross-Defendant entrusted \$700,000.00 to Cross-Defendant and Cross-Defendant invested the \$700,000.00, (2) Cross-Defendant kept the \$700,000 without Cross-Complainant's consent, and (4) Cross-Complainant has been harmed by Cross-Defendant's unlawful retention of his money. (Fremont Indemnity Co. v. Fremont General Corp. (2007) 148 Cal.App.4th 97, 119 [the elements of conversion]; Voris v. Lampert (2019) 7 Cal.5th 1141, 1151 ["[A]lthough our law has dispensed with the old requirement that 'each coin or bill be earmarked,' it remains the case that 'money cannot be the subject of an action

for conversion unless a specific sum capable of identification is involved”] [“[A] cause of action for conversion of money can be stated

only where a defendant interferes with the plaintiff's possessory interest in a specific, identifiable sum”; ‘the simple failure to pay money owed does not constitute conversion”].)

The court sustains Defendants' demurrer to the sixth cause of action for constructive trust because it does not state facts sufficient to constitute a cause of action since a request a constructive trust is a remedy and not a cause of action. (Code Civ. Proc., § 430.10, subd. (e); PCO, Inc. v. Christensen, Miller, Fink, Jacobs, Glaser, Weil & Shapiro, LLP (2007) 150 Cal.App.4th 384, 398 [“A constructive trust, however, is an equitable remedy, not a substantive claim for relief”] [emphasis in original].)

The court sustains the demurrer to the seventh cause of action for accounting because the facts alleged show that the money owed by Cross-Defendant to Cross-Complainant is a sum that can be made certain by calculation. (Cross-Compl., ¶¶ 30, 70.) (Code Civ. Proc., § 430.10, subd. (e); St. James Church of Christ Holiness v. Superior Court (1955) 135 Cal.App.2d 352, 359 [holding that an action for accounting is not available where the plaintiff alleges the right to recover a sum certain or a sum that can be made certain by calculation]; Teselle v. McLoughlin (2009) 173 Cal.App.4th 156, 179, citing Brea v. McGlashan (1934) 3 Cal.App.2d 454, 460 [A cause of action for an accounting requires a showing that a relationship exists between the plaintiff and defendant that requires an accounting, and that some balance is due the plaintiff that can only be ascertained by an accounting].)

The court overrules the demurrer to the eighth cause of action for declaratory relief because Cross-Complainant has alleged an actual controversy regarding the breach of oral agreement claim, the unjust enrichment claim, and the conversion claim. (Nede Mgmt. Inc. v. Aspen American Ins. Co. (2021) 68 Cal.App.5th 1121, 1132 [holding that when an actual controversy is alleged, a demurrer as to declaratory relief should be overruled].)

The burden is on the cross-complainant “to articulate how it could amend its pleading to render it sufficient.”² (Palm Springs Villas II Homeowners Assn., Inc. v. Parth²(2016) 248 Cal.App.4th 268, 290.)² To satisfy that burden, a cross-complainant “must show in what manner he can amend

his complaint and how that amendment will change the legal effect of his pleading.” (Goodman v. Kennedy (1976) 18 Cal.3d 335, 349.) The court finds that Cross-Complainant has articulated the facts that he could allege to render his cause of action for promissory estoppel against Cross-Defendant sufficient, and thus, grants leave to amend as to the first cause of action. The court finds that Cross-Complainant has not articulated the facts that he could allege to render his causes of action for breach of fiduciary duty, constructive trust, and accounting against Cross-Defendant sufficient and therefore does not grant leave to amend as to the second, sixth, and seventh causes of action.

ORDER

The court sustains cross-defendant Hong Liang, M.D.’s demurrer to cross-complainant Bin Zhang’s first cause of action with leave to amend.

The court sustains cross-defendant Hong Liang, M.D.’s demurrer to cross-complainant Bin Zhang’s second, sixth, and seventh causes of action without leave to amend.

The court overrules cross-defendant Hong Liang, M.D.’s demurrer to cross-complainant Bin Zhang’s third, fourth, fifth, and eighth causes of action.

The court grants cross-complainant Bin Zhang 20 days leave to amend the first cause of action to cure the defects set forth in this order.

The court orders cross-defendant Hong Liang, M.D. to give notice of this ruling.

IT IS SO ORDERED.

DATED: July 17, 2026

Robert
B. Broadbelt III

Judge
of the Superior Court